Lilly Family **School of Philanthropy**

Giving USA: 2015 Was America’s Most Generous Year Ever

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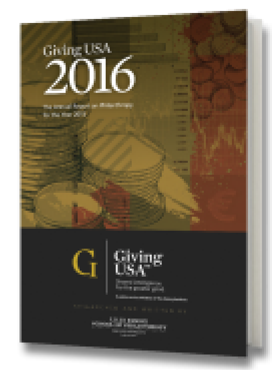
Charitable donations hit record for second year in a row, at estimated $373.25 billion



Donations from America’s individuals, estates, foundations and corporations reached an estimated $373.25 billion in 2015, setting a record for the second year in a row, reports *Giving USA 2016: The Annual Report on Philanthropy for the Year 2015*.

That new peak in contributions is record-setting whether measured in current or inflation-adjusted dollars. In 2015, total giving grew 4.1 percent in current dollars (4.0 percent when adjusted for inflation) over 2014. The revised inflation-adjusted estimate for total giving in 2014 was $359.04 billion, with current-dollar growth of 7.8 percent, and an inflation-adjusted increase of 6.1 percent.

But that’s not the only big news about charitable giving in this year’s report.

“If you look at total giving by two-year time spans, the combined growth for 2014 and 2015 hit double digits, reaching 10.1 percent when calculated using inflation-adjusted dollars,” said Giving USA Foundation Chair W. Keith Curtis, president of nonprofit consulting firm The Curtis Group, Virginia Beach, Virginia. “But these findings embody more than numbers—they also are a symbol of the American spirit. It’s heartening that people really do want to make a difference, and they’re supporting the causes that matter to them. Americans are embracing philanthropy at a higher level than ever before.”

Charitable contributions from all four sources went up in 2015, with those from individuals once again leading the way in terms of total dollar amount, at $264.58 billion. This follows the historical pattern seen over more than six decades.

Giving USA, the longest-running and most comprehensive report of its kind in America, is published by Giving USA Foundation, a public-service initiative of The Giving Institute. It is researched and written by the Indiana University Lilly Family School of Philanthropy.

Diving even Deeper into Charitable Gifts, both Large and Small

"The last two years represent the highest and second-highest totals for giving—and the third and fourth largest percentage increases in giving—in the past 10 years, adjusted for inflation," said Amir Pasic, Ph.D., the Eugene R. Tempel Dean of the Indiana University Lilly Family School of Philanthropy.

Pasic added that "the share of total giving going to each type of recipient was virtually the same in 2015 as it was in 2014. During and after the recession, some donors redirected donations to assist with pressing needs. The fact that the portion of the giving 'pie' destined for the various subsectors has been largely consistent for the past two years suggests that giving among the broad destination categories may be stabilizing."

Very large charitable donations—categorized here as gifts of $100 million or more—have garnered an increasing amount of attention over the past 10 to 15 years. In 2015, the very large contributions that were publicly announced totaled at least $3.3 billion.

"Each year, gifts of $100 million or more play a significant role for some individual donors and many different types of charities, and they do affect the numbers. However, Americans' collective generosity would still be enormous even without those jaw-dropping gifts," said Patrick M. Rooney, Ph.D., associate dean for academic affairs and research at the school. "Philanthropy is quite democratic and always has been—more people give than vote in the U.S.—and $20, $10 and $1 gifts do make a cumulative difference."

Not only did individuals give the most; by upping their gifts 3.8 percent when measured in current dollars (and 3.7 percent when inflation-adjusted), in 2015 they were responsible for two-thirds of the year's overall increase in total giving.

In 2015, the largest year-over-year percentage increase in contributions from sources however, came via grants made by the country's independent, community and operating foundations, according to data provided by the Foundation Center. It went up 6.5 percent in current dollars, and 6.3 percent when adjusted for inflation. Over the past several years, foundations have seen strong asset growth, helping drive their ability to increase donations made in the form of grants.

The Numbers for 2015 Charitable Giving by Source:

- ↑ Individual giving, $264.58 billion, increased 3.8 percent in current dollars (and 3.7 percent when inflation-adjusted) over 2014.

- ↑ Foundation giving, $58.46 billion, was 6.5 percent higher than 2014 (6.3 percent when inflation-adjusted).

- ↑ Charitable bequests, $31.76 billion, increased 2.1 percent (1.9 percent when inflation-adjusted) over 2014.

- ↑ Corporate giving, $18.45 billion, increased 3.9 percent (3.8 percent when inflation-adjusted) over 2014 giving.

Charitable Giving Levels Reflect Economic Conditions

Sustained growth in total giving for 2014 and 2015 could be due, in part, to at least two factors: The country's overall economic environment continuing its path to recovery after recessionary times, and household finances seeming to stabilize.

Healthy growth among several key economic factors, including: personal consumption; personal income; disposable personal income; GDP; and, corporate pre-tax profits, influenced all four sources of giving when it came to 2015 charitable donations, and from individuals in particular.

While the S&P 500 declined steadily throughout 2015, ending essentially flat (at -0.7 percent), its double-digit growth in each of the two years prior, and attendant rise in many portfolio values, helped buoy 2015 giving.

One gauge of philanthropy's impact on American society is the fact that charitable giving is at a level high enough for it to be part and parcel of GDP. In fact, charitable donations have hovered around 2 percent of GDP for many years. In 2015, the relevant figure was 2.1 percent, the same as in 2014 and slightly above the 40-year average of 1.9 percent.

Upon closer examination of the relationship between giving and GDP, which totaled $17.95 trillion at year's end, Jeffrey D. Byrne, chair of The Giving Institute and president and CEO of Jeffrey D. Byrne + Associates in Kansas City, Missouri, sees something potentially even more interesting: “Between 2010 and 2015, growth in charitable donations actually outperformed growth in GDP,” he said, adding, “consider this: inflation-adjusted total giving grew at an annualized average rate of 3.6 percent during that time frame; meanwhile, GDP growth grew at an average rate of 2 percent.

“Isn’t that a fascinating statistic,” he asked, “that growth in total giving has been outpacing growth in our nation’s GDP? I believe that is information Americans can wrap their heads around and celebrate. I hope everyone who either works within philanthropy, donates to philanthropic causes, or benefits from the good work such organizations do, will participate in helping this level of growth continue and even increase.”

Highlights about 2015 Gifts to Charitable Organizations

When looking at the other side of giving—contributions to nine major types of charitable organizations—2015 was noteworthy for several reasons:

• Giving to educational institutions remained strong; growth exceeded 5 percent in 2015, as it also did in four of the five years between 2010 and 2014.
• The giving to religion slice of Giving USA’s recipient pie chart, which measures the percentage of donations made to nine charitable subsectors, has steadily shrunk for decades. Paradoxically, it has never tumbled from its first-place standing in terms of total donations received. In 2015, the category held firm at 32 percent of the total received, the same figure estimated for 2014.
• Many valuable gifts of artwork, books and manuscripts, along with other types of “appreciated assets,” were donated to charitable organizations in 2015. Since art markets both domestic and global were at or near peak highs in 2014 and 2015, that could explain why.
• Giving to foundations was the only category in 2015 where donations decreased—by 3.8 percent in current dollars. Since foundations tend to receive very large gifts, it is possible their magnitude was not as great in 2015 compared to 2014, especially since those contributions influence year-over-year changes in giving.
• Giving to international affairs increased 17.5 percent in 2015 after two straight years of decline. That large increase may be attributable to growth in the number of active international charitable organizations; use of more strategic fundraising methods; and increased focus on international issues among foundations. Additionally, as the slowest-growing type of charitable organization (in terms of gifts received) for six years, giving to this category may have taken longer to recover from the recession than others.

The Numbers for 2015 Charitable Giving to Recipients

As noted above, all but one of nine categories that *Giving USA's* research covers saw increased giving in 2015; donations to foundations was the exception.

- Religion—at $119.30 billion, 2015 giving increased 2.7 percent in current dollars, and 2.6 percent when adjusted for inflation.

- Education—giving increased to $57.48 billion, 8.9 percent more in current dollars than the 2014 total. The inflation-adjusted increase was 8.8 percent.

- Human Services—its $45.21 billion total was 4.2 percent higher, in current dollars, than in 2014. The inflation-adjusted increase was 4.1 percent.

- To Foundations—at an estimated $42.26 billion in 2015, giving declined 3.8 percent in current dollars and decreased 4.0 percent when adjusted for inflation.

- Health—the $29.81 billion estimated for 2015 giving to this category was 1.3 percent higher, in current dollars, than the 2014 estimate. When adjusted for inflation, the increase was 1.2 percent.

- Public-Society Benefit—the $26.95 billion estimate for 2015 increased 6.0 percent in current dollars over 2014. When adjusted for inflation, the increase was 5.9 percent.

- Arts/Culture/Humanities—at an estimated $17.07 billion, growth in current dollars was 7.0 percent in 2015. When adjusted for inflation, the increase was 6.8 percent.

- International Affairs—the $15.75 billion estimate for 2015 increased 17.5 percent, in current dollars, from 2014. The increase was

17.4 percent when adjusted for inflation.

Environment/Animals—the $10.68 billion estimate for 2015 was up 6.2 percent in current dollars, and 6.1 percent when adjusted for inflation, over 2014 giving.

In addition to the above, 2 percent of 2015's total charitable giving, $6.56 billion, went to individuals. These contributions were largely in-kind donations of medicine contributed via pharmaceutical foundations' patient assistance programs.

Adding further context to the giving by recipient data, "Five charitable subsectors saw large increases in 2015: giving to education; arts, culture and humanities; environment/animals; public-society benefit; and international affairs. Each of these subsectors grew by more than 5 percent," said Una Osili, Ph.D., director of research at the school. "And two of those—education and the arts—traditionally include organizations and institutions that wealthy donors are most likely to support. In addition, the increase in education giving was fueled by a number of very large gifts to colleges and universities."

For an even deeper look at charitable giving in 2015, please see "Perspectives," an insightful look at the relationship between the data, the donations and the people who make philanthropy happen. Penned by Foundation Chair Keith Curtis, Institute Chair Jeffrey Byrne, and Lilly Family School of Philanthropy Dean Amir Pasic, it indeed puts 2015 into perspective.

NOTES TO EDITORS

Members of the media can request 40-year data tables that show sources of contributions by year in current and inflation-adjusted dollars and allocation of gifts by type of recipient category, also in current and inflation-adjusted dollars. Data also are available showing total giving as a percentage of GDP, individual giving as a percentage of disposable income and corporate giving as a percentage of corporate pre-tax profits.

The requested citation for Giving USA is Giving USA 2016: The Annual Report on Philanthropy for the Year 2015, a publication of Giving USA Foundation, 2016, researched and written by the Indiana University Lilly Family School of Philanthropy. Available online at the *Giving USA* store <http://www.givingusa.org> .

About Giving USA Foundation

Advancing the research, education and public understanding of philanthropy is the mission of Giving USA Foundation, founded in 1985 by The Giving Institute. Headquartered in Chicago, the Foundation publishes data and trends about charitable giving through its seminal publication, Giving USA, and quarterly reports on topics related to philanthropy. Published since 1956, *Giving USA* is the longest running, most comprehensive report on philanthropy in America. Read more about Giving USA Foundation's history, as well as the history of *Giving USA* and philanthropy in the U.S. in the *Giving USA 2015 Spotlight: Celebrating Service to Philanthropy* (available as a free download).

About Giving USA

For over 60 years, *Giving USA: The Annual Report on Philanthropy in America*, has provided comprehensive charitable giving data that are relied on by donors, fundraisers and nonprofit leaders. The research in this annual report estimates all giving to all charitable organizations across the United States. *Giving USA* is a public outreach initiative of Giving USA Foundation™ and is researched and written by the Indiana University Lilly Family School of Philanthropy. Giving USA Foundation, established in 1985 by The Giving Institute, endeavors to advance philanthropy through research and education. Explore *Giving USA* products and resources, including free highlights of each annual report, at our online store <http://www.givingusa.org> .

About The Giving Institute

The Giving Institute <https://www.givinginstitute.org> , the parent organization of Giving USA Foundation™, consists of member organizations that have embraced and embodied the core values of ethics, excellence and leadership in advancing philanthropy. Serving clients of every size and purpose, from local institutions to international organizations, The Giving Institute member organizations embrace the highest ethical standards and maintain a strict code of fair practices.

How to Obtain *Giving USA 2016*

Giving USA 2016: The Annual Report on Philanthropy for the Year 2015, is available for download at our online store <http://www.givingusa.org> . A complimentary executive summary, Highlights, also is available.

Customers can select from a number of *Giving USA 2016* products, including the full report, available in both digital and paperback formats; a PowerPoint slide deck; data tables; and the free Highlights executive summary.

Giving USA Foundation <http://www.givingusa.org> periodically publishes in-depth reports (Spotlights) on different aspects of charitable giving and fundraising trends.

About the Indiana University Lilly Family School of Philanthropy

The Indiana University Lilly Family School of Philanthropy is dedicated to improving philanthropy to improve the world by training and empowering students and professionals to be innovators and leaders who create positive and lasting change. The school offers a comprehensive approach to philanthropy through its academic, research and international programs and through The Fund Raising School, Lake Institute on Faith & Giving and the Women's Philanthropy Institute.

***Giving USA* Methodology**

Giving USA estimates primarily rely on econometric methods developed by leading researchers in philanthropy and the nonprofit sector and are reviewed and approved by the members of the Giving USA Advisory Council on Methodology (ACM). Members of the ACM include research directors from national nonprofit organizations, as well as scholars from such disciplines as economics and public affairs, all of whom are involved in studying philanthropy and the nonprofit sector.

The Indiana University Lilly Family School of Philanthropy prepares all of the estimates in *Giving USA* for Giving USA Foundation. *Giving USA* develops estimates for giving by each type of donor (sources) and for recipient organizations categorized by subsectors (uses). Most of *Giving USA's* annual estimates are based on econometric analyses and tabulations of tax data, economic indicators and demographics. Data for giving by foundations come from the Foundation Center.

Following the same approach by leading public and private institutions that develop economic statistics, *Giving USA* researchers update data found within *Giving USA* each year. This is because current *Giving USA* estimates are developed before final tax data, some economic indicators, and some demographic data are available. The estimates are revised and updated as final versions of these data become available. Final estimates are usually developed two to three years after their initial release.

For more specific details on *Giving USA's* methodology, please refer to the "Brief summary of methods" section within *Giving USA 2016* or contact the Indiana University Lilly Family School of Philanthropy at adrldavi@iu.edu or 317-278-8972.